Annex IV. Debt Sustainability Analysis

Chile Public Sector Debt Sustainability Analysis (DSA) - Baseline Scenario

(in percent of GDP unless otherwise indicated)

Debt, Economic and Market Indicators [1/]

	Actual			Projections					
	2007-2015 [2/]	2016	2017	2018	2019	2020	2021	2022	2023
Nominal gross public debt (EoP)	10.1	21.0	23.6	24.7	26.0	26.7	26.9	26.6	26.1
Public gross financing needs	0.4	10.8	3.9	2.9	2.3	2.7	4.8	1.3	1.0
Net public debt (excludes Pension Reserve Fund)	-7.0	4.4	7.8	9.4	11.4	12.8	13.6	14.1	14.3
Real GDP growth (in percent)	3.6	1.3	1.5	4.0	3.4	3.2	3.0	3.0	3.0
Inflation (GDP deflator, in percent)	4.0	4.7	4.7	1.3	2.0	3.2	3.1	3.0	3.0
Nominal GDP growth (in percent)	7.7	6.0	6.2	5.3	5.5	6.5	6.2	6.1	6.1
Effective interest rate (in percent) [4/]	8.1	4.6	4.1	3.9	3.6	3.9	3.8	3.8	3.8

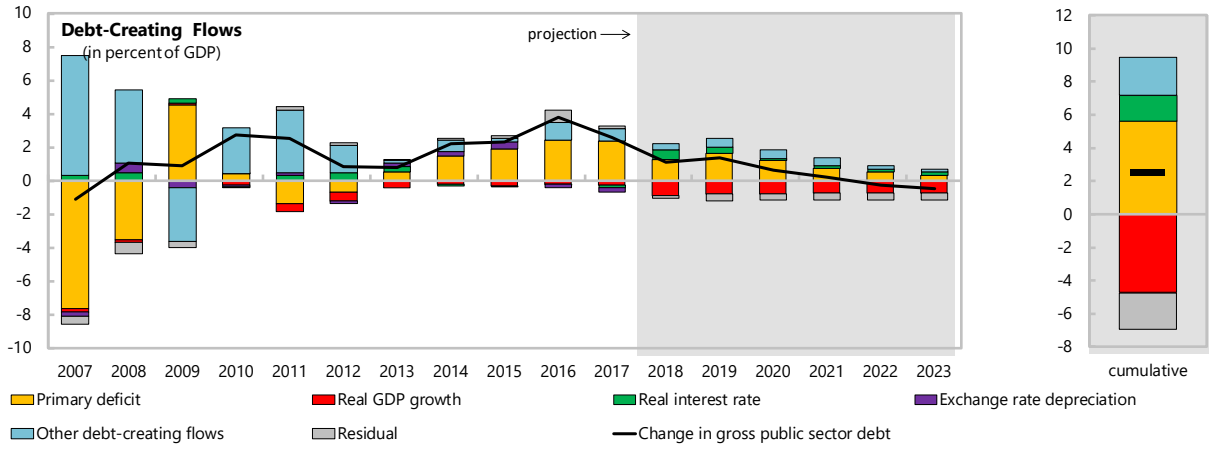
As of September 20, 2018

Sovereign Spreads	
EMBIG (bp) 3/	131
5Y CDS (bp)	48

Ratings	Foreign	Local
Moody's	A1	A1
S&Ps	A+	AA-
Fitch	A	A+

Contribution to Changes in Public Debt

	Actual			Projections							
	2007-2015	2016	2017	2018	2019	2020	2021	2022	2023	cumulative	debt-stabilizing primary balance [9/]
Change in gross public sector debt	1.4	3.8	2.5	1.1	1.3	0.6	0.2	-0.3	-0.5	2.5	
Identified debt-creating flows	1.5	3.0	2.4	1.3	1.8	1.0	0.6	0.1	-0.1	4.7	
Primary deficit	-0.5	2.4	2.4	1.3	1.6	1.2	0.7	0.5	0.3	5.6	-0.4
Primary (noninterest) revenue and grants	21.4	20.4	20.5	21.2	20.8	20.7	20.7	20.6	20.5	124.6	
Primary (noninterest) expenditure	20.9	22.8	22.9	22.5	22.4	21.9	21.4	21.1	20.9	130.2	
Automatic debt dynamics [5/]	0.0	-0.4	-0.7	-0.3	-0.4	-0.6	-0.6	-0.6	-0.6	-3.2	
Interest rate/growth differential [6/]	-0.1	-0.2	-0.4	-0.3	-0.4	-0.6	-0.6	-0.6	-0.6	-3.2	
Of which: real interest rate	0.2	0.0	-0.1	0.6	0.4	0.1	0.1	0.2	0.2	1.6	
Of which: real GDP growth	-0.3	-0.2	-0.3	-0.9	-0.8	-0.8	-0.8	-0.8	-0.8	-4.7	
Exchange rate depreciation [7/]	0.1	-0.2	-0.3	...	...	...	...	...	...	...	
Other identified debt-creating flows	1.9	1.0	0.7	0.3	0.6	0.5	0.5	0.2	0.2	2.3	
Net acquistion of Financial Assets (negative)	1.3	0.6	0.4	0.0	0.3	0.3	0.3	0.2	0.2	1.3	
Contingent liabilities	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
Net Repayment of Recognition Bond	0.6	0.4	0.4	0.3	0.3	0.2	0.2	0.0	0.0	1.0	
Residual, including asset changes [8/]	-0.1	0.7	0.2	-0.2	-0.4	-0.4	-0.4	-0.4	-0.4	-2.2	



Source: IMF staff.

1/ Public sector is defined as central government.

2/ Based on available data.

3/ EMBIG.

4/ Defined as interest payments divided by debt stock (excluding guarantees) at the end of previous year.

5/ Derived as [(r - π(1+g) - g + ae(1+r)]/(1+g+π+gπ)) times previous period debt ratio, with r = interest rate; π = growth rate of GDP deflator; g = real GDP growth rate; a = share of foreign-currency denominated debt; and e = nominal exchange rate depreciation (measured by increase in local currency value of U.S. dollar).

6/ The real interest rate contribution is derived from the numerator in footnote 5 as r - π (1+g) and the real growth contribution as -g.

7/ The exchange rate contribution is derived from the numerator in footnote 5 as ae(1+r).

8/ Includes asset changes and interest revenues (if any). For projections, includes exchange rate changes during the projection period.

9/ Assumes that key variables (real GDP growth, real interest rate, and other identified debt-creating flows) remain at the level of the last projection year.

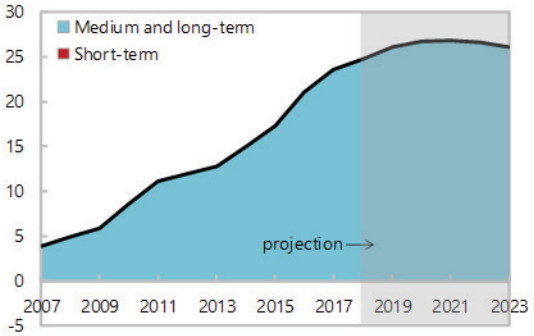
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Chile Public DSA - Composition of Public Debt and Alternative Scenarios

Composition of Public Debt

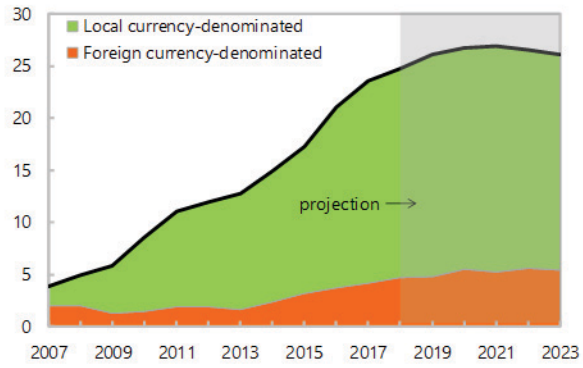
By Maturity

(in percent of GDP)



By Currency

(in percent of GDP)

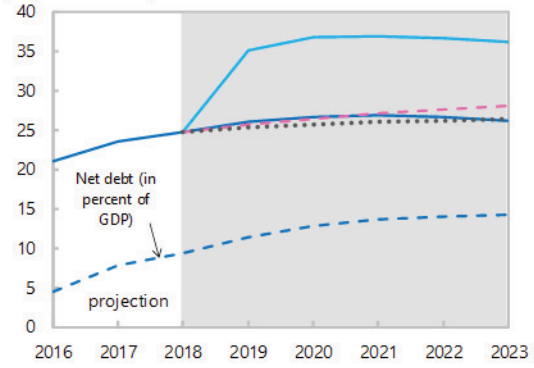


Alternative Scenarios



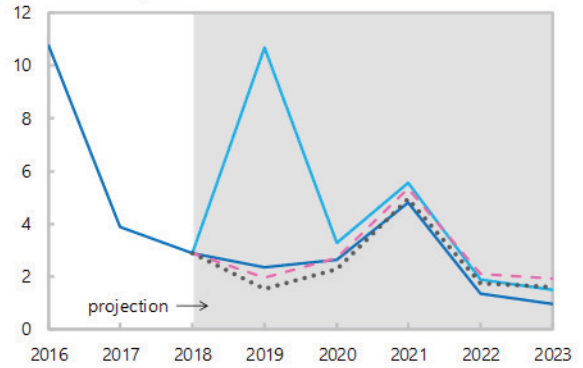
Gross Nominal Public Debt

(in percent of GDP)



Public Gross Financing Needs

(in percent of GDP)



Underlying Assumptions

(in percent)

Baseline Scenario	2018	2019	2020	2021	2022	2023
Real GDP growth	4.0	3.4	3.2	3.0	3.0	3.0
Inflation	1.3	2.0	3.2	3.1	3.0	3.0
Primary Balance	-1.3	-1.6	-1.2	-0.7	-0.5	-0.3
Effective interest rate	3.9	3.6	3.9	3.8	3.8	3.8
Constant Primary Balance Scenario						
Real GDP growth	4.0	3.4	3.2	3.0	3.0	3.0
Inflation	1.3	2.0	3.2	3.1	3.0	3.0
Primary Balance	-1.3	-1.3	-1.3	-1.3	-1.3	-1.3
Effective interest rate	3.9	3.6	3.9	3.8	3.8	3.8

Historical Scenario	2018	2019	2020	2021	2022	2023
Real GDP growth	4.0	3.0	3.0	3.0	3.0	3.0
Inflation	1.3	2.0	3.2	3.1	3.0	3.0
Primary Balance	-1.3	-0.8	-0.8	-0.8	-0.8	-0.8
Effective interest rate	3.9	3.6	4.0	4.1	4.4	4.5
Contingent Liability Shock						
Real GDP growth	4.0	0.9	0.8	3.0	3.0	3.0
Inflation	1.3	1.4	2.6	3.1	3.0	3.0
Primary Balance	-1.3	-9.8	-1.2	-0.7	-0.5	-0.3
Effective interest rate	3.9	4.4	4.5	4.4	4.3	4.3

Source: IMF staff.

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